

How businesses can protect against the loss of a key person with life insurance



Businesses can purchase insurance to supplement and sustain their working capital, in the event of the death or serious illness of a key person. The insurance benefits can help the business:

- Pay for recruitment to find a suitable replacement
- Pay outstanding debts
- Maintain contracts and commitments to customers
- Acquire additional credit to sustain operations

How does it work?

While the insured is the key person, the business owns the policy. It pays the premiums and, as the named beneficiary, will receive the tax-free death benefit. In most cases, premiums are not tax deductible.

What options are available?

Term life insurance and critical illness coverage are ideal products to protect businesses against the loss of a key person. Options available from Co-operators include:

VersatileTerm™

Term plans offer affordable, guaranteed premiums for a specific duration, with a yearly renewable term thereafter. Our Versatile Term insurance includes:

- Coverage amounts of \$25,000 to \$10 million
- Term lengths of 10, 15, 20, 25 or 30 years
- Affordable, guaranteed premium rates during the initial term duration
- Guaranteed renewal rates with annual increases
- Preferred rates to those who qualify
- The option to convert to a permanent plan without additional underwriting

CriticalAssist®

Critical Illness coverage provides financial protection if a key person is diagnosed with a life-altering illness and is unable to work. Our Critical Assist product includes:

- Coverage amounts of \$25,000 to \$2 million
- Term lengths of 10 and 25 years or level to age 75
- Affordable, guaranteed premium rates during the initial term duration, with guaranteed renewal rates in stepped increments thereafter
- Benefits are paid to the policyowner through a tax-free lump sum
- 29 covered conditions (25 full-payment conditions and four partial-payment, early-assist conditions)
- Access to top quality physicians and medical advice through the Best Doctors® program
- Option to add a Premium Payback at Expiry or Premium Payback at Surrender

Clients can choose our Critical Assist 20-Pay product that allows owners/shareholders to pay a level premium for 20 years, after which the policy becomes paid-up and no further premiums are due.

